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Founder-CEOs and Firm Value: Evidence from Performance, Returns, and Investment Behavior in U.S. Firms

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Abstract

This thesis examines whether founder-CEO leadership is associated with differences in firm valuation, stock returns, and investment behavior among US-listed firms. Using a panel of 1,578 firms between 2010 and 2024, we identify founder-CEOs from SEC filings and estimate a series of OLS regressions with firm, industry, and time fixed effects. We find that founder-led firms exhibit significantly higher Tobin's Q across all specifications, including the within-firm specification. In contrast, the evidence does not support a founder-CEO return premium. Although founder-led firms earn higher returns in the baseline model, the sign reverses once firm characteristics and fixed effects are introduced, and the effect is at most marginally significant. Founder-led firms also invest more in R&D, while differences in CAPEX are limited and inconsistent. The results suggest that founder leadership is reflected in higher market valuation and a stronger emphasis on innovation-oriented investment, but not in systematically higher stock returns.

Keywords: Founder-CEOs, Firm valuation, Investment behavior, Stock returns

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Table of Contents

1 Introduction **4**
2 Literature review **7**
2.1 Firm valuation 7
2.2 Stock returns 8
2.3 Investment Behavior 9
3 Data and Sample Construction **11**
3.1 Data Sources and Identification 11
3.2 Descriptive Statistics 13
3.3 Variables 15
4 Methodology **18**
4.1 Empirical Models 18
4.2 Fixed Effect and Clustered Standard Errors 20
4.3 Robustness Checks 21
5 Results **22**
5.1 Tobin's Q 22
5.2 Annual Stock Returns 24
5.3 R&D and CAPEX Intensity 25
6 Discussion **28**
6.1 Founder Valuation 28
6.2 Stock Market Returns 29
6.3 Investment Behavior 30
6.4 Limitations 32
7 Conclusion **33**
Databases **35**
Appendix **36**
Appendix A: Additional Tables 36
Appendix B: AI Disclosure 37

1 Introduction

Companies are often controlled by large shareholders such as founders, families, or institutional investors. Many large publicly listed firms continue to be led by their founders even after going public. For instance, among the largest 500 companies by revenue, 24 remain founder-led.[1] In these firms, the CEO typically combines the authority to run the company with a deep understanding of its core business and a significant ownership stake.

Founder-CEOs differ from non-founder CEOs along several important dimensions. They typically view the firm as their own creation and have a strong attachment to it, which may foster a long-term strategic approach. At the same time, their ownership can reduce agency conflicts between managers and shareholders by better aligning incentives (Anderson et al., 2003). Together, these characteristics suggest that founder-CEOs influence not only firm performance but also corporate policies, including investment and capital allocation decisions (Stein, 1989).

However, this concentration of control may weaken internal oversight and make the CEO harder to remove, leaving them entrenched and pursuing strategic choices that may benefit private interests rather than maximize shareholder value. Because the performance of such firms may vary more, concentrated decision-making can amplify both positive and negative outcomes (Adams et al., 2005). Furthermore, as firms grow and become more complex, founders may lack the managerial skills needed to scale the company, yet remain reluctant to give up control (Wasserman, 2003).

Empirical evidence on the relationship between founder-CEO status and firm performance is mixed. Some studies document a positive relationship between founder involvement and firm value (Morck et al., 1988; Villalonga & Amit, 2006; Fahlenbrach, 2009), while others find weaker or even negative effects (Pérez-González, 2006). Evidence on stock market performance is similarly inconclusive, with several studies reporting no consistent abnormal return differences (Jayaraman et al., 2000). A key limitation in much of this literature is the frequent mixing of ownership, control, and managerial status, which makes it difficult to isolate the specific effect of founder-CEOs. More broadly, existing research suggests that managerial characteristics meaningfully shape corporate policies, including investment and financing decisions (Bertrand & Schoar, 2003; Bertrand & Mullainathan, 2003; Malmendier & Tate, 2005).

[1] The Fortune 500 ranks the biggest U.S. companies by revenue. Fortune 500 companies represent two-thirds of U.S. GDP with $19.9 trillion in revenues, and they employ 31 million people worldwide. Last year, they combined to earn $1.87 trillion in profits, up 10% from last year. https://fortune.com/2025/06/02/founders-ceos-fortune-500-entrepreneurs/

Furthermore, a concern in this literature is that founder-CEO status may be endogenous rather than randomly assigned. Whether a founder remains CEO may depend on firm performance, growth opportunities, or succession timing, which creates a two-sided selection problem. Founders may remain in control during weak performance because concentrated ownership and influence make them difficult to remove. At the same time, Adams et al. (2009) show that founders are also more likely to step down after periods of unusually high or unusually low operating performance. Consequently, simple cross-sectional comparisons may partly capture selection and firm lifecycle dynamics rather than the isolated effect of founder leadership.

Despite the importance of founder-CEOs in the existing literature, there is room for further research. Much is based on samples of large firms, raising concerns about external validity and whether the findings extend beyond large, publicly listed companies. Although the relationship between founder status and firm performance is documented, less is known about how these patterns evolve as firms transition away from founder leadership. This paper sheds additional light on the role of founder-CEOs by examining differences in CEO status, firm performance, and investment behavior among US-listed firms over the period 2010–2024.

The contribution is twofold. First, we examine how valuation, returns, and investment behavior differ between founder- and non-founder-led firms across the full size distribution, evaluating whether previously documented patterns hold beyond large firms. Second, we move beyond cross-sectional comparisons by examining whether these differences persist within the same firm when CEO status changes, focusing on founder-to-non-founder transitions.

To address these gaps, we aim to answer the following questions:

1. *Do founder- and non-founder-led firms differ systematically in firm valuation, stock market returns, and investment behavior across the full size distribution?*

2. *Do differences in firm outcomes persist when controlling for unobservable firm characteristics, and how do transitions from founder to non-founder CEOs correspond to changes in firm valuation, annual stock return, and investment behavior within the same firm?*

Our findings show three main results. First, we document a robust and economically meaningful valuation difference for founder-led firms. Founder-CEO firms exhibit a substantially higher Tobin's Q, and this difference declines only modestly when controlling for observable firm characteristics, indicating that it cannot be fully explained by standard accounting fundamentals. The difference also persists, though reduced, in the firm fixed effects model, suggesting that firms are valued higher during periods of founder-CEO leadership. Second, this higher valuation does not translate into consistent stock market outperformance. Although founder-led firms earn higher returns in the baseline model, the difference turns marginally negative once firm characteristics, year, and industry fixed effects are included, and loses significance entirely within firms. Third, founder-led firms differ systematically in their investment behavior, particularly in R&D. They exhibit significantly higher R&D intensity across cross-sectional specifications, indicating a stronger orientation toward long-term, innovation-related investment. Differences in capital expenditure are, by contrast, weaker and less consistent, emerging only under more stringent controls, which suggests that founder leadership operates mainly through how investment is allocated rather than through uniformly higher spending.

We begin in Section 2 with a review of the theoretical and empirical literature on founder-CEOs, firm performance, family firms, stock returns, and investment decisions. Section 3 describes the data and sampling procedure and presents descriptive statistics. Section 4 outlines the empirical methodology. Section 5 presents the results, and Section 6 discusses their implications in relation to the prior literature. Section 7 concludes

2 Literature review

The relationship between founder- and non-founder-led firms is central to firm-level research because it captures how ownership and managerial characteristics shape firm performance. Since the seminal work of Berle and Means (1932), it has been argued that managers' interests do not align with those of shareholders. Founder-CEOs, who hold both roles, may mitigate this conflict by aligning ownership with control. Building on this idea, the literature explores whether founder-led firms differ in performance, valuation, and investment behavior.

2.1 Firm valuation

The literature on firm valuation examines how differences in managerial origin and ownership structure are reflected in firm outcomes, typically measured using Tobin's Q. A central issue is whether variation in firm value reflects differences in managerial incentives and control structures, or whether it is primarily driven by selection into leadership roles and endogenous succession.

Founder-CEO firms have higher Tobin's Q than professionally managed firms. Fahlenbrach (2009) emphasizes that the higher valuation stems from incentive alignment. Because founder control is concentrated, ownership and decision-making are no longer separated, which keeps managerial choices in investment and financing more disciplined. In other words, who leads the firm directly shapes its corporate policies, and through them its value.

However, whether this valuation difference is causal depends on whether the managerial structure can be treated as exogenous. Founder-CEOs step down following both unusually strong and weak performance, which means succession is endogenous to firm conditions (Adams et al., 2009). Once this endogeneity is instrumented using founder mortality and founder count, founder-CEO status remains positively with Tobin's Q. Simple comparisons understate the true founder valuation difference, because weaker-performing founders are more likely to remain in place while stronger ones exit.

Extending this perspective to family firms, defined as firms controlled either by founders or by members of the founding family, control rights persist across generations and become partially separated from ownership. In these firms, ownership, control, and management do not necessarily coincide. Burkart et al. (2003) frame this as a trade-off: concentrated ownership provides stronger monitoring incentives, but retaining control within

the family may distort managerial selection if family members lack competence.

Valuation across family firms depends on how control is exercised rather than ownership concentration alone. Family firms generate higher Tobin's Q on average, though this relationship is not uniform across governance structures (Anderson & Reeb, 2003). Valuation differences prove more pronounced when the founding family maintains an active role in management or the board, suggesting that family involvement in governance, rather than ownership itself, drives the valuation

Villalonga and Amit (2006) decompose this effect further, showing that family ownership generates a higher Tobin's Q primarily when the founder retains an active role. When descendants lead the firm instead, valuation declines, and control structures that separate voting rights from cash-flow ownership further weaken valuation outcomes. How control is structured therefore matters at least as much as ownership itself.

The transfer of control across generations introduces a selection margin that shapes firm value through managerial succession. When leadership transfers within the family, the structure shifts from incentive alignment toward managerial selection, and this process appears to destroy value. Firms appointing family CEOs experience declines in operating performance and Tobin's Q following succession, particularly when successors are weaker on observable characteristics (Pérez-González, 2006). Using exogenous variation in family structure induced by the gender of the outgoing CEO's firstborn child, Bennedsen et al. (2007) likewise find lower operating profitability around family-CEO transitions.

2.2 Stock returns

While accounting-based measures and valuation multiples capture firm performance and value, it is important to distinguish these from stock market performance. The central question is whether the distinct characteristics of founder-led firms are also reflected in the stock returns.

Founder-CEO firms earn abnormal returns relative to professionally managed firms. Fahlenbrach (2009) documents this using portfolios rebalanced annually and benchmarked against a four-factor model, in which excess performance persists after controlling for firm and CEO characteristics. This is interesting from an efficient-market perspective, since founder-CEO status is public information and should already be reflected in share prices. Fahlenbrach links the result to the distinct investment behavior of founder-CEOs, while acknowledging that whether it is specific to his sample period remains an open question. The

source of this mispricing appears to lie in how the market values incentive alignment. Lilienfeld-Toal and Ruenzi (2014) show that firms with high CEO ownership earn abnormal returns, with the effect strongest where agency problems would otherwise be most severe: weak external governance, limited product market competition, and substantial managerial discretion. This effect is specific to ownership stakes held voluntarily, rather than those required by contracts, which makes it particularly relevant to founder-CEOs who choose to hold equity rather than being obligated to do so. The interpretation is that the market systematically underpriced the governance benefits of concentrated ownership.

The value of founder involvement becomes apparent around CEO successions. Family CEO transitions generate no significant abnormal returns upon announcement, while unrelated CEO appointments yield positive abnormal returns (Pérez-González, 2006). Over the subsequent three years, firms appointing unrelated CEOs earn substantial abnormal returns, while family-CEO firms experience returns not significantly different from zero. When founders are succeeded by family members, the valuation disappears, whereas succession by an outside CEO tends to generate substantially positive returns. This reversal reveals that the founder value reflects the quality of the person leading the firm rather than founder status itself: strong external candidates generate abnormal returns, while family successors do not.

2.3 Investment Behavior

Beyond valuation and performance, investment decisions have long been viewed as a channel through which managerial characteristics shape firm outcomes. Investment policies reflect not only underlying growth opportunities but also persistent differences in managerial style. Bertrand and Schoar (2003) document that variation in firm investment and financing behavior is tied to the individuals in charge rather than to firm fundamentals alone. Managers leave their own mark on how capital is allocated, so investment policy is shaped partly by personal characteristics such as education and birth year, not by firm-level factors alone.

Founder-CEO firms tend to invest more in capital expenditures and R&D investment (Fahlenbrach, 2009). These patterns reflect a distinctive managerial style rather than a simple response to growth opportunities, yet the higher investment intensity does not destroy value. The larger investment expenditures of founder-CEO firms are directed toward positive-NPV projects, and Fahlenbrach argues that founder-CEOs take on a wider set of investment opportunities, implying they identify growth opportunities that other managers miss.

Not all variation in investment stems from the deliberate pursuit of growth opportunities. Managerial overconfidence shapes investment behavior through the sensitivity of capital allocation to internal liquidity and external financing conditions. When managers overestimate project returns and perceive external financing as costly, investment becomes more sensitive to internal cash flow (Malmendier & Tate, 2005). Such firms invest more when internal funds are available and cut back when external financing is required, a pattern most pronounced among firms dependent on external equity. This reveals that managerial behavioral traits translate into systematic differences in investment policy across firms.

3 Data and Sample Construction

3.1 Data Sources and Identification

The initial sample is constructed from Wharton Research Data Services (WRDS) and includes all publicly traded U.S. firms with available observations in the Compustat Fundamentals Annual database over the period 2010–2024. The dataset contains firm-level accounting and financial-statement information, as well as key identifiers such as GVKEY, Central Index Key (CIK), and Standard Industrial Classification (SIC) codes.

To ensure consistent time-series coverage, we exclude all firms that entered the database after 2010. This restriction yields a balanced panel structure in which the same set of firms are observed throughout the sample period, allowing us to use firm fixed effects. It also ensures that the sample composition remains stable over time. Firms entering the panel through IPOs post-2010 would differ systematically in size, age, and ownership structure. After applying this restriction, the sample consists of 2,211 unique firms and 33,113 firm-year observations. We further exclude firms in the Financials and Real Estate sectors (SIC 6000–6999), as these industries operate under different regulatory and reporting environments. After applying these screening criteria, the final sample comprises 1,578 unique firms and 23,643 firm-year observations.

To identify founder-CEOs, we use SEC EDGAR filings, relying on CIK numbers as firm identifiers. We collect proxy statements (DEF 14A, DEFA14A), annual reports (Form 10-K), and Form 20-F filings for cross-listed firms. An individual is classified as a founder-CEO if they (1) founded or co-founded the firm and (2) served as CEO during the sample period.[2]

We develop a Python-based algorithm to scan director-related sections in DEF 14A, DEFA14A, and 10-K filings. For each firm, all available filings are retrieved using the firm's CIK. The HTML filings are parsed, and relevant sections are identified using common headers (e.g., "Board of Directors," "Election of Directors," and "Director Nominees").

We apply a co-occurrence detection approach to identify potential founder-CEOs. Specifically, an observation is classified as positive if terms such as "founder," "co-founder," or "founded" appear in the same paragraph as "CEO" or "Chief Executive Officer." To reduce false positives, we impose several restrictions: (1) excluding cases where board

[2] Some of the founder classifications require more subjective assessments. For instance, Warren Buffett is not classified as a founder of Berkshire Hathaway, despite his central role in transforming the company, as he inherited rather than created the firm. Likewise, Bernard Arnault is not classified as a founder of LVMH, which emerged from a merger of pre-existing companies, even though he became the driving force behind its subsequent growth.

members founded or led external companies unrelated to the focal firm; (2) excluding generic background descriptions (e.g., prior experience as a founder); and (3) excluding past roles identified through date ranges (e.g., "CEO from 2000–2007") or past-tense language (e.g., "was CEO," "served as CEO until").

The automated procedure identifies 803 firms out of 1,476 with available filings, and 114 firms lack accessible EDGAR data. All flagged cases are manually verified using corporate websites, annual reports, and proxy statements, resulting in 147 confirmed founder-CEOs among domestic firms. Applying the same procedure to Form 20-F filers, 26 founder-CEOs are confirmed out of 81 flagged firms (out of 249 total), and manual review identifies an additional 7 cases.

Panel A of Table 1 summarizes the founder-CEO classification by firm and firm-year. In total, we identify 180 founder-CEO firms (11.4% of firms), corresponding to 1,992 firm-year observations (8.4%). Panel B presents the distribution across fiscal years. We define a founder-CEO indicator as 1 if the CEO is a founder or co-founder in a given year, and 0 otherwise. CEO age is hand-collected from public disclosures.

Table 1: Sample of Firms and Frequency of Founder-CEO Observations

Panel A — Full sample, 2010–2024

	Total	No. of Founder-CEOs	Frequency [%]
Firms	1,578	180	11.4
Firm-years	23,643	1,992	8.4

Panel B — Firm-years by fiscal year

Fiscal Year	Total	No. of Founder-CEOs	Frequency [%]
2010	1,571	164	10.4
2011	1,578	166	10.5
2012	1,578	164	10.4
2013	1,578	164	10.4
2014	1,578	155	9.8
2015	1,578	146	9.3
2016	1,578	141	8.9
2017	1,578	132	8.4
2018	1,578	130	8.2
2019	1,578	127	8.1
2020	1,578	120	7.6
2021	1,578	110	7.0
2022	1,578	100	6.3
2023	1,578	90	5.7
2024	1,558	83	5.3
Total	23,643	1,992	8.4

Table 1 reports summary statistics for 23,643 firm-year observations across 1,578 U.S.-listed firms over the period 2010–2024. Panel A presents the number of firms and firm-year observations. Panel B reports the time-series distribution of founder-CEO observations, where founder-CEO firm-years are defined as observations in which the firm is led by a founder CEO. Frequency (%) represents founder-CEO firm-years as a percentage of total firm-years in each year. The declining frequency over time reflects founder-CEO turnover. In total, 180 unique firms are led by a founder CEO at some point during the sample period.

3.2 Descriptive Statistics

Table 2 reports descriptive statistics and founder-CEO departure events. Founder-CEOs have an average age of 52.9 years at the start of the sample period, with a median of 51 years, indicating a relatively mature leadership profile. Their tenure is substantial, suggesting that founders typically remain in control for extended periods. Approximately 47.5% of founder-CEOs remain active as of 2024.

Among the 87 founder-CEOs who depart during the sample period, turnover is largely non-disciplinary. The majority of exits (80.5%) are planned transitions or retirements,11.5% are due to death, and 8.0% are classified as forced (e.g., dismissals or scandals). Turnover is relatively infrequent and primarily driven by voluntary or exogenous factors rather than performance-related reasons.

We classify firms into 18 industries. Founder-CEOs are present in nearly all industries, with substantial variation across sectors (see Appendix A, Graph 1). While founder-led firms are broadly represented, some industries exhibit a higher concentration. Founder-CEO firm-years account for approximately 28% in Business Services, 24% in Chemicals and Pharma, and 22% in Electronics and Semiconductor. In contrast, their representation is more limited in industries such as Agriculture (ca. 10%), Communications (ca. 12%), and Construction (ca. 13%). The largest number of founder-CEO firm-year observations is observed in Business Services, followed by Chemicals & Pharma and Electronics & Semiconductor.

Table 2: CEO characteristics & Firm Event

	Mean	Median	Min.	Max.
Variable				
CEO Characteristics				
Age at start of sample period [years]	52.9	51.00	27	85
Tenure length [years]	10.3	12.00	1	15
Still active as of 2024 [%]	47.5	—	—	—
Event (departed founders only, N = 87)				
Planned transition/retirement	70	80.5%		
Death	10	11.5%		
Forced (fired / scandal)	7	8.0%		
Observations (founder-CEO firms)	180			

Sample covers 180 founder CEOs across 1,578 US-listed firms over 2010–2024. Age is measured at the start of the sample period (2010). Tenure length is the number of years the founder served as CEO within the sample window. Still active refers to founder CEOs who remained in their role as of the fiscal year 2024. Departure type is classified based on hand-collected data: planned transitions include retirements and voluntary successions; forced departures include dismissals, scandals, and governance-related exits. Frequency [%] is computed over departed founders only (N = 87).

Table 3: Descriptive Statistics

	Entire sample		Founder Firms		Non-founder Firms		
Variable	**Mean**	**S.D.**	**Mean**	**S.D.**	**Mean**	**S.D.**	**t-stat diff.**
Annual stock return	.262	1.189	.307	1.220	0.258	1.185	-1.669*
ROA	-.162	.913	-.168	.795	-.162	.923	0.295
Tobin's Q	2.786	7.023	3.187	5.671	2.746	7.140	-2.615***
Log Tobin's Q	.354	.923	.604	.972	.329	.914	-12.435***
R&D intensity	.115	.269	.153	.242	.111	.272	-5.181***
CAPEX intensity	.046	.050	.044	.053	.046	.050	2.178**
Debt-to-assets	.333	.485	.255	.405	.340	.491	7.398***
Sales growth	.105	.451	.182	.515	.099	.444	-7.293***
Log total assets	7.016	2.824	6.138	2.320	7.096	2.853	14.467***
Observations	23,643		1,992		21,651		

t-statistics are from two-sample t-tests of the difference in means between founder CEO and non-founder CEO firm-years.
*, **, *** *denote significance at the 10%, 5%, and 1% levels, respectively.*

To mitigate the influence of outliers, all continuous variables are winsorized at the 1st and 99th percentiles. Observations below (above) these thresholds are replaced with the corresponding percentile values. This retains all observations while reducing the influence of extreme values on the regression estimates.

3.3 Variables

Founder-CEO is the main independent variable used in the analysis, it captures whether the firm is led by its founder in a given year. The variable is constructed as a binary indicator equal to one if the firm's CEO is identified as the founder or co-founder of the company in a given year, and zero otherwise. Founder-CEO status is determined using the identification procedure described in Section 3.1, which combines automated text analysis of SEC filings with manual verification.

We use four dependent variables. First, Tobin's Q is used as a measure of firm performance and valuation. It captures the market valuation of a firm relative to the replacement cost of its assets and is commonly used as a proxy for firm value and investment opportunities. Following the same approach as in Adams et al. (2009), we use the logarithm of Tobin's Q to address the right-skewed distribution of the raw ratio. Without this transformation, a small number of firms with extremely high valuations relative to book assets would otherwise overestimate the estimates. We use an approximation of Tobin's Q based on accounting data.

Second, annual stock returns serve as the primary measure in the performance analysis. Returns are calculated using fiscal year-end prices, while dividend payments are incorporated as total common dividends per share. This measure captures total shareholder return over the fiscal year and proxies for short-term market performance.

Third, Research and development (R&D) intensity is used as the primary dependent variable in tests of investment behavior. Prior research suggests that founder-led firms are more willing to commit resources to long-term investments, particularly R&D, even when this may reduce short-term earnings. R&D intensity, therefore, serves as a proxy for firms' commitment to innovative activity and investment behavior. Because R&D expenditure is not reported for all firm-year observations, the R&D sample is smaller than the full panel. Reporting is also more common among founder-led firms, which raises a potential sample selection concern. While the main models exclude firm-years with missing R&D, prior

literature shows that omitted R&D fields often reflect reporting discretion rather than the absence of innovative activity (Koh & Reeb, 2015). To ensure that baseline estimates are not driven by differences in reporting incidence, we conduct two robustness checks on the full sample, which are discussed in the limitations section and presented in Appendix A.

Fourth, Capital Expenditures (CAPEX) intensity is an additional measure of investment behavior. Whereas R&D captures investment in innovation and intangible assets, CAPEX reflects investment in tangible assets. These expenditures represent long-term commitments that may reduce short-term earnings but increase productive capacity and future growth. CAPEX intensity, therefore, provides a proxy for investment in physical capital and complements R&D intensity by capturing a different dimension of investment behavior.

We include a set of control variables to reduce the risk that the estimated founder-CEO coefficient captures broader firm characteristics rather than founder leadership itself. This is important given the descriptive differences in Table 3, which show that founder-led and non-founder-led firms differ along several dimensions. Firm size, measured as the logarithm of total assets, is included because larger firms differ in maturity, financing access, risk, and investment capacity. Capital structure is controlled for using the debt-to-assets ratio, hereinafter referred to as leverage, since it captures financial flexibility and may influence both investment decisions and performance. Profitability is captured using ROA, since more profitable firms typically have greater internal financing capacity and higher valuations. Growth opportunities are controlled for using sales growth, since firms with stronger growth prospects are likely to differ in valuation, stock returns, and investment intensity. Together, these controls help separate the relationship between founder-CEO status and firm outcomes from observable differences in firm fundamentals.

Tobin's Q and CAPEX intensity also serve as controls in specifications where they are not the dependent variable, with Tobin's Q capturing growth opportunities and CAPEX intensity capturing investment intensity; the exact composition of the control set in each specification is detailed in Section 4.1

Table 4: Variable Definitions

Type	Compustat	Formula / Definition
Dependent Variables (Y)		
Annual Stock Return	prcc_f, dvc, csho	[(Pt − Pt−1) + DPSt] / Pt−1
Log Tobin's Q	prcc_f, csho, dltt, at	log((MarketCap + LongTermDebt) / TotalAssets)
R&D Intensity	xrd, at	RD / TotalAssets
CAPEX Intensity	capx, at	CAPEX / TotalAssets
Independent Variable		
Founder CEO Dummy	founder_dummy	1 if founding CEO in year t, else 0 [hand-collected]
Control Variables		
Log Total Assets	at	log(TotalAssets)
Debt-to-Assets	dltt, dlc, at	(LongTermDebt + CurrentDebt) / TotalAssets
ROA	ib, at	NetIncome / TotalAssets
Tobin's Q	prcc_f, csho, dltt, at	(MarketCap + LongTermDebt) / TotalAssets
Sales Growth	sale	$(Sales_t - Sales_{t-1}) / Sales_{t-1}$
CAPEX Intensity	capx, at	CAPEX / TotalAssets
Fixed Effects		
Year FE	fyear	Indicator per fiscal year
Industry FE	sic	Indicator per 2-digit SIC industry
Firm FE	gvkey	Indicator per firm

4 Methodology

4.1 Empirical Models

To address the research questions, we estimate a series of panel regressions using firm-level data over the period 2010–2024, applied across four dependent variables. Our empirical approach is based on ordinary least squares (OLS) estimation in a panel data setting. Panel methods allow us to exploit both cross-sectional and time-series variation while accounting for unobserved heterogeneity across firms and over time.

Model 1 – baseline OLS regression is given by:

$$Y_{it} = \alpha + \beta_1 \cdot FounderCEO_{it} + \varepsilon_{it}$$

The baseline specification regresses our dependent variables on the founder CEO dummy alone. While this model is too limited to support causal interpretation, it serves as a descriptive benchmark that captures the unconditional relationship between founder-CEO status and the dependent variable. Any coefficient estimate here reflects both the direct effect of founder CEO status and all confounding variation across firms and time.

Model 2 - OLS with controls and year fixed effects.

We extend the baseline specification by introducing a set of firm-level control variables and year fixed effects (γ_t). The model is given by:

$$Y_{it} = \alpha + \beta_1 \cdot FounderCEO_{it} + Controls_{it} + \gamma_t + \varepsilon_{it}$$

The inclusion of control variables accounts for observable differences across firms. Founder-led firms differ systematically from non-founder-led firms, as shown in the summary statistics; failing to control for these characteristics may bias the estimated relationship. Including these controls, therefore, provides a more precise estimate of the relationship of interest. Year fixed effects further absorb common time-specific shocks that could otherwise distort the estimates.

Model 3 – OLS with controls, year, and industry fixed effects.

We extend Model 2 by additionally including industry fixed effects (δ_j). The model is given by:

$$Y_{it} = \alpha + \beta_1 \cdot FounderCEO_{it} + Controls_{it} + \gamma_t + \delta_j + \varepsilon_{it}$$

Founder CEOs are not randomly distributed across industries and firm types (see Table 3 and Appendix A, Graph 1). They are more prevalent in fast-growing sectors such as technology and pharmaceuticals, which tend to exhibit structurally different return profiles compared to more mature industries, such as utilities or manufacturing. In the absence of industry fixed effects, the estimated founder-CEO coefficient may reflect differences in industry composition rather than the relationship of interest. Including industry fixed effects, therefore, helps isolate variation within industries and improves the interpretation of the estimated coefficient.

Model 4 – OLS with firm and year fixed effects

We replace industry fixed effects with firm fixed effects (α_i), which absorb all time-invariant firm characteristics. The model is given by:

$$Y_{it} = \alpha_i + \beta_1 \cdot FounderCEO_{it} + Controls_{it} + \gamma_t + \varepsilon_{it}$$

Firms within the same industry may differ along dimensions that are difficult to observe, such as corporate culture, strategy, and organizational practices. Firm fixed effects allow us to exploit within-firm variation over time by identifying the relationship based on changes in founder-CEO status within the same firm, meaning that identification comes from firms that experience a transition between founder and non-founder CEOs. This specification is the most demanding and provides the strongest basis for interpretation. However, it comes with an important limitation: the founder-CEO indicator changes only when such transitions occur, and these events are relatively rare in the sample, resulting in limited within-firm variation, larger standard errors, and reduced statistical power.

The control set is adjusted across specifications to avoid mechanical or endogenous relationships between the dependent variable and the controls. Log total assets, debt-to-assets, ROA, and sales growth are included in all four regressions. The remaining controls differ as follows. In the annual stock return regression, Tobin's Q and CAPEX intensity are both

included to capture growth opportunities and investment intensity. In the log Tobin's Q regression, Tobin's Q is naturally excluded as a control variable, and CAPEX intensity is included to control for investment intensity. In the R&D intensity regression, Tobin's Q is excluded from the control set because innovation activity is a well-established determinant of firm valuation; including Tobin's Q would introduce an endogeneity concern in which the control variable is itself an outcome of R&D investment. In the CAPEX intensity regression, CAPEX is the dependent variable and is therefore excluded from the controls. The exact control set used in each specification is reported in Tables 5–7.

4.2 Fixed Effect and Clustered Standard Errors

To account for unobserved heterogeneity and improve the validity of our results, we include several fixed effects. Year fixed effects are included in all models, except the baseline OLS, and control for macroeconomic conditions and time-specific shocks that affect all firms simultaneously. This removes common time variation arising from business cycle fluctuations, monetary policy changes, and other aggregate events that could bias the estimated relationship between founder-CEO status and the dependent variables.

Industry fixed effects are included in Model 3 and capture systematic differences across industries. Founder-CEOs are not randomly distributed across industries (see Appendix A, Graph 1) and tend to operate in environments with structurally different characteristics, such as capital intensity and growth opportunities. Controlling for these differences helps reduce omitted variable bias and ensures that the estimated relationship is not driven by systematic industry characteristics.

Firm fixed effects are introduced in Model 4 and absorb all time-invariant firm-specific characteristics, such as corporate culture, governance structure, and long-standing strategic orientation, allowing identification to rely on within-firm variation over time. This addresses time-invariant sources of endogeneity but not time-varying ones, such as performance-related leadership transitions, so the within-firm estimates reduce but do not fully eliminate endogeneity concerns.

Standard errors are clustered at the firm level in all models to account for serial correlation and heteroskedasticity in the error term. In panel data settings, observations from the same firm are likely to be correlated over time, violating the assumption of independently distributed errors; clustering at the firm level corrects for this dependence and ensures consistent inference.

4.3 Robustness Checks

An important limitation of the R&D analysis is that R&D expenditure is not reported for all observations. The data show that reporting is more common among founder-led firms, with 54.2% firm-years reported (55% at the firm level), compared to 46.1% (50.6% at the firm level) for non-founder-led firms. In the main results for R&D intensity, missing observations are dropped, which raises the possibility that the estimates partly reflect differences in reporting incidence.

Whether this is a meaningful concern depends on what missing R&D actually represents. Koh and Reeb (2015) show that 10.5% of firms with blank R&D fields file patents at rates fourteen times higher than firms reporting zero R&D, suggesting that omission is often a discretionary disclosure choice rather than an absence of innovation. They recommend reporting results under multiple assumptions about the missing observations, with a non-reporting dummy included throughout to absorb the systematic component of the disclosure decision.

To address this concern, the approaches recommended by Koh and Reeb (2015) are applied, and the model is re-estimated on the full sample (Appendix A, Table 8). Two approaches are used: (1) replacing missing values with zero and including a missing R&D dummy, and (2) using the industry-year average for R&D while including the same dummy variable to control for discretionary non-reporting. If the higher R&D intensity of founder-led firms is tied to leadership rather than to their greater propensity to report R&D, the founder-CEO coefficient should remain positive and significant once the full sample is used and non-reporting is explicitly controlled for. As reported in Appendix A (Table 8), this is indeed the case, indicating that the main R&D result is not an artifact of differential reporting between founder- and non-founder-led firms.

5 Results

5.1 Tobin's Q

Table 5 presents the results from the regression of log Tobin's Q on the founder-CEO indicator across all four specifications. Founder-led firms exhibit a 30.2% higher Tobin's Q in the baseline model, showing a meaningful difference. After including controls for firm size, leverage, profitability, sales growth, and capital intensity, the coefficient declines to 27.3%. Observable firm characteristics seem to explain only a limited portion of the valuation difference.

Restricting the comparison to firms within the same industry reduces the estimate further to 22.6%. Founder-led firms are not clustered in sectors that tend to command higher valuations. Rather, the valuation persists among firms operating under broadly similar competitive conditions. The relatively small decline further strengthens the idea that the difference is tied to founder leadership itself rather than to the industries in which these companies operate.

Including firm and year fixed effects reduces the estimate further to 15.7%, and it remains statistically significant at the 5% level. Part of the cross-sectional valuation difference therefore reflects persistent firm characteristics correlated with founder leadership. At the same time, the remaining positive coefficient indicates that firms tend to be valued higher during periods in which a founder serves as CEO. The decline is also consistent with the limited number of founder-to-non-founder transitions in the sample, which restricts within-firm identifying variation.

The control variables provide additional context. Firm size is negatively related to log Tobin's Q across all specifications. Leverage is positively related to valuation in Models 2 and 3, although the coefficient becomes smaller once firm fixed effects are introduced, suggesting that the relationship is driven primarily by cross-sectional rather than within-firm variation. Profitability, measured by ROA, is negative and statistically significant throughout the analysis, while sales growth is consistently positive, indicating that firms with stronger revenue expansion tend to receive higher market valuations.

CAPEX intensity shows a non-linear pattern across specifications. The coefficient is negative in the specification with controls, turns positive once industry fixed effects are introduced, and increases further in the firm fixed effects specification. Firms with high capital expenditure intensity are concentrated in industries with lower average valuation

levels. Once these structural differences are controlled for, investment intensity appears positively related to firm valuation.

Table 5: Log Tobin's Q and Founder-CEOs

	(1)OLS Baseline	(2)OLS + Controls	(3)OLS + Ind. FE	(4)Firm + Year FE
Founder CEO dummy	0.2642***	0.2413***	0.2036***	0.1460**
	(0.0660)	(0.0610)	(0.0574)	(0.0591)
Log total assets		−0.0459***	−0.0260***	−0.1675***
		(0.0065)	(0.0065)	(0.0161)
Debt-to-assets		0.3263***	0.3915***	0.2236***
		(0.0424)	(0.0396)	(0.0353)
ROA		−0.2792***	−0.2499***	−0.0852***
		(0.0304)	(0.0309)	(0.0285)
Sales growth		0.2068***	0.1771***	0.1089***
		(0.0178)	(0.0173)	(0.0119)
CAPEX intensity		−1.0178***	0.7611***	1.4643***
		(0.2339)	(0.2746)	(0.1763)
Year FE	No	Yes	Yes	Yes
Industry FE	No	No	Yes	No
Firm FE	No	No	No	Yes
Observations	21,337	19,030	19,030	19,030
R-squared	0.0070	0.2161	0.3217	0.1387
Adj. R-squared	0.0069	0.2153	0.3190	0.1379

All models were estimated by OLS with standard errors clustered at the firm level. *, **, *** denote significance at the 10%, 5%, and 1% levels, respectively. Coefficient interpretation: (e^coef − 1) × 100 = % change in Tobin's Q. All models estimated with standard errors clustered at the firm level.

5.2 Annual Stock Returns

Table 6 presents the regression results for annual stock returns. The baseline model shows that founder-led firms earn 4.9% higher annual returns relative to non-founder-led firms, but the coefficient is not statistically significant.

Once firm-level controls and year fixed effects are introduced, the estimate turns negative at −4.6% and becomes marginally significant at the 10% level. This suggests that the positive baseline estimate is driven by differences in firm characteristics and time-specific factors rather than founder leadership itself. After accounting for these factors, founder-led firms exhibit somewhat lower returns on average.

Restricting the comparison to firms within the same industry leaves the estimate largely unchanged at −4.4%, also marginally significant at the 10% level. The result is not driven by founder-led firms concentrating in sectors with different return profiles. The negative estimate persists among firms operating under broadly similar conditions, and the close similarity between models 2 and 3 reinforces this.

Once firm fixed effects are introduced, the coefficient remains negative at −8.4% but loses statistical significance. This is likely a reflection of the limited within-firm variation in founder-CEO status over the sample period, as identification in this specification relies only on firms that experience a leadership transition, leaving relatively few observations driving the estimate.

The control variables show consistent patterns across specifications. Firm size has a negative coefficient throughout, indicating that smaller firms earn higher average returns. Tobin's Q and sales growth are positive and significant throughout, while ROA turns significant only in the within-firm specification. Leverage does not reach significance in any model. CAPEX intensity appears negatively and becomes larger in magnitude across specifications.

Across all four specifications, the results do not provide evidence of a robust return for founder-led firms, and the controlled estimates point in the opposite direction, although the marginal significance warrants caution in drawing strong conclusions.

Table 6: Impact of Founder CEO on Annual Stock Return

	(1)OLS Baseline	(2)OLS + Controls	(3)OLS + Ind. FE	(4)Firm + Year FE
Founder CEO dummy	0.0493	−0.0456*	−0.0436*	−0.0835
	(0.0304)	(0.0238)	(0.0245)	(0.0630)
Log total assets		−0.0475***	−0.0496***	−0.1912***
		(0.0044)	(0.0046)	(0.0274)
Debt-to-assets		−0.0174	−0.0320	−0.0856
		(0.0423)	(0.0454)	(0.0891)
ROA		0.0679	0.0785	0.2854***
		(0.0469)	(0.0486)	(0.0761)
Tobin's Q		0.0207***	0.0221***	0.0532***
		(0.0047)	(0.0049)	(0.0084)
Sales growth		0.1884***	0.1847***	0.1534***
		(0.0318)	(0.0325)	(0.0357)
CAPEX intensity		−0.5179***	−1.0072***	−1.8114***
		(0.1823)	(0.2223)	(0.3498)
Year FE	No	Yes	Yes	Yes
Industry FE	No	No	Yes	No
Firm FE	No	No	No	Yes
Observations	19,980	18,929	18,929	18,929
R-squared	0.0001	0.0623	0.0665	0.0669
Adj. R-squared	0.0001	0.0613	0.0627	0.0659

All models were estimated by OLS with standard errors clustered at the firm level. *, **, *** denote significance at the 10%, 5%, and 1% levels, respectively.

5.3 R&D and CAPEX Intensity

Table 7 presents the results from regressing R&D intensity and CAPEX intensity on founder-CEO status across four specifications.

In Panel A, the coefficient on the founder-CEO indicator is positive and statistically significant in Models 1–3, at the 1% level once controls are included.

In the baseline model, founder-led firms exhibit a 4.16% higher R&D intensity relative to non-founder firms. Adding controls reduces the estimate slightly to 3.92%. Observable firm characteristics explain only a limited portion of the difference. Given a sample mean of 11.5%, this corresponds to a meaningful increase of roughly 36%.

Comparing firms within the same industry shows a similar estimate of 4.27%, also

significant at the 1% level. This makes it unlikely that the result is driven by founder-led firms being concentrated in R&D-intensive industries. The slight increase compared to the controls model suggests that when founder-led firms operate in industries where R&D spending is generally lower, they still invest more heavily in R&D than the typical firm in their sector.

Once firm fixed effects are introduced, the coefficient declines to 2.79% and becomes statistically insignificant. Founder-CEO status rarely changes within a firm, so identification in this model relies on the small number of firms that undergo a leadership transition. Part of the cross-sectional difference, therefore, reflects stable, longer-running firm characteristics rather than founder leadership alone, even though the direction of the relationship remains the same across specifications.

The CAPEX results in Panel B are weaker. In the baseline specification, the founder-CEO coefficient is negative but economically small –0.26% and statistically insignificant. After including controls, the estimate remains essentially zero –0.01%, suggesting no meaningful cross-sectional difference in CAPEX intensity between founder-led and non-founder firms.

In the industry fixed effects, the coefficient turns positive at 0.49% and becomes significant at the 10% level. The estimate increases further in the firm fixed effects specification to 0.67%, significant at the 10% level. Relative to the sample mean of 4.6%, this corresponds to an increase of approximately 15%.

R&D intensity is consistently higher for founder-led firms across specifications, whereas CAPEX differences are weaker and only emerge once industry- and firm-level factors are accounted for. Overall, founder-led firms appear to spend more on R&D than on CAPEX relative to non-founder firms.

Table 7: Investment behavior

Panel A: R&D Intensity (R&D / Total Assets)

Variable	(1) OLS Baseline	(2) OLS + Controls	(3) OLS + Ind. FE	(4) Firm + Year FE
Founder CEO dummy	0.0416**	0.0392***	0.0427***	0.0279
	(0.0193)	(0.0131)	(0.0121)	(0.0209)
Log total assets		−0.0097***	−0.0083***	−0.0411***
		(0.0018)	(0.0019)	(0.0068)
Debt-to-assets		−0.0298	−0.0204	0.0084
		(0.0204)	(0.0199)	(0.0183)
ROA		−0.1922***	−0.1822***	−0.1430***
		(0.0198)	(0.0195)	(0.0171)
Sales growth		0.0173***	0.0098*	0.0013
		(0.0059)	(0.0058)	(0.0054)
Year FE	No	Yes	Yes	Yes
Industry FE	No	No	Yes	No
Firm FE	No	No	No	Yes
Observations	12,706	11,303	11,303	11,303
R-squared	0.0021	0.4867	0.5300	0.3441
Adj. R-squared	0.0020	0.4859	0.5273	0.3430

Panel B: CAPEX Intensity (CAPX / Total Assets)

Variable	(1) OLS Baseline	(2) OLS + Controls	(3) OLS + Ind. FE	(4) Firm + Year FE
Founder CEO dummy	−0.0026	−0.0001	0.0049*	0.0067*
	(0.0033)	(0.0033)	(0.0027)	(0.0039)
Log total assets		0.0035***	0.0011***	0.0008
		(0.0004)	(0.0004)	(0.0011)
Debt-to-assets		0.0055***	0.0004	−0.0043*
		(0.0019)	(0.0018)	(0.0022)
ROA		−0.0004	−0.0014	−0.0043***
		(0.0015)	(0.0015)	(0.0016)
Sales growth		0.0056***	0.0058***	0.0044***
		(0.0015)	(0.0012)	(0.0010)
Year FE	No	Yes	Yes	Yes
Industry FE	No	No	Yes	No
Firm FE	No	No	No	Yes
Observations	23,392	20,842	20,842	20,842
R-squared	0.0002	0.0457	0.3004	0.0340
Adj. R-squared	0.0002	0.0449	0.2978	0.0332

All models were estimated by OLS with standard errors clustered at the firm level. *, **, *** denote significance at the 10%, 5%, and 1% levels, respectively.

6 Discussion

6.1 Founder Valuation

The baseline results show a clear valuation difference between founder-led and non-founder-led firms, with founder-led firms being valued higher. At first glance, this aligns with earlier evidence in the literature, although the interpretation is not immediately straightforward. Fahlenbrach (2009) highlights how tighter alignment between ownership and control in founder firms can influence decision-making, while Anderson and Reeb (2003) document valuation differences in family-influenced firms even before accounting for firm characteristics.

Adding firm characteristics reduces the valuation, but only partially. That is notable because profitability, growth, leverage, and size would typically be expected to account for a larger share of valuation differences. The fact that a substantial portion remains suggests that the pattern is not purely driven by performance differences captured in accounting data. Villalonga and Amit (2006) point in a similar direction, showing that valuation effects in family firms depend more on whether the founder is actively involved than on ownership itself. This suggests that the difference is linked to how decisions are made rather than to observable financial outcomes.

When firms are compared within the same sectors, the valuation persists. That matters because it removes the simplest explanation that founder-led firms are clustered in sectors with generally higher valuations. What remains is a difference among firms that operate under similar conditions, which makes the result harder to dismiss as composition. Burkart et al. (2003) discuss how control structures shape decision-making even under similar external conditions. At the same time, the result does not clearly distinguish between founders actively influencing firm behavior within industries and founders sorting into firms that already follow different, less observable trajectories.

The effect becomes smaller once firm fixed effects are included, suggesting that part of the earlier difference reflects persistent firm-level characteristics associated with founder presence rather than leadership changes alone. This is consistent with Adams et al. (2009), who argue that founder succession is closely linked to firm conditions, implying that cross-sectional comparisons may partly reflect selection. However, the pattern does not disappear entirely. Firms are still valued differently depending on whether a founder is CEO, even within the same firm over time. This suggests that valuation differences are not purely

cross-sectional, but also emerge within firms when leadership changes. Fahlenbrach (2009) points to differences in how long-term decisions are made when ownership and control are combined, while Pérez-González (2006) and Bennedsen et al. (2007) show that firm outcomes often weaken after founder succession, especially when successors are weaker in observable terms. So the within-firm pattern is not easy to dismiss, even if selection clearly plays a role.

Our results establish that founder-led firms exhibit valuation differences across different specifications. Part of this reflects differences between firms that tend to retain founders, and part of it appears within firms around leadership changes. The valuation difference may reflect how investment and capital allocation decisions are made, how markets interpret founder involvement, or differences in stock market performance over time.

6.2 Stock Market Returns

Before interpreting these patterns, it is important to note that the conditional coefficients in Models 2 and 3 are statistically significant only at the 10% level, and the estimate is not significant under firm fixed effects. The discussion that follows treats the negative conditional association as suggestive rather than definitive.

The stock return results add a new perspective to the founder-CEO literature. In the baseline model, founder-led firms outperform non-founder-led firms, consistent with earlier studies that have documented a founder-CEO premium in stock market performance. However, this positive association disappears once firm-level controls and time fixed effects are introduced. The sign reversal suggests that the higher uncontrolled returns of founder-led firms are closely related to the type of firms in which founders remain in control, rather than reflecting a robust return premium connected to founder status.

One explanation could be that founder-CEOs are systematically concentrated in firms with characteristics that imply a stronger market performance in simple cross-sectional comparisons. In our sample, founder-led firms differ from non-founder-led firms in several economically important dimensions, including size, valuation, leverage, and sales growth. The sign reversal appears after controlling for these characteristics, along with year and industry fixed effects, indicating that the founder premium is not stable across specifications. Our results reflect a more sensitive relationship to model specification and sample composition. Prior evidence, including Fahlenbrach (2009) and Villalonga and Amit (2006), is derived from large US corporations and covers the mid-1990s through the mid-2000s,

whereas our study covers firms across the full size distribution between 2010 and 2024. The conditional annual stock return effect becomes negative in a broader sample, which raises the question of whether the positive founder premium documented in earlier studies holds across firm type and time periods. Fahlenbrach (2009) leaves open whether his premium is tied to his sample period or would also hold in other periods, and in the broader window examined here it does not appear once controls are added.

This contrasts with the valuation results, which is not necessarily a contradiction. Founder-led firms have a higher Tobin's Q but no clear return premium, which is consistent with the market pricing the perceived benefits of founder leadership into valuation levels rather than into subsequent returns. The positive coefficient on Tobin's Q in the return regressions fits this, as it is valuation rather than founder status that is associated with returns in our sample. At a minimum, our findings indicate that a founder CEO does not guarantee superior stock market performance once firm heterogeneity is considered.

When comparing our results to the existing literature, we have to consider the differences in research design. Prior studies, such as Fahlenbrach (2009) and Lilienfeld-Toal and Ruenzi (2014), document a positive founder return premium; they rely on portfolio studies that are rebalanced every year and estimate abnormal returns using the Carhart four-factor model. This approach explicitly risk-adjusts for market, size, book-to-market, and momentum factors. Our empirical study regresses annual returns on a founder-CEO dummy variable while relying on firm-level controls and fixed effects. Although the year fixed effect absorbs aggregate market shocks, our setting lacks the advantage of a proven asset pricing model. The premium in Lilienfeld-Toal and Ruenzi (2014) uses voluntarily held ownership stakes rather than founder status as a label, so a founder-CEO dummy may be too coarse to recover the premium these studies identify.

6.3 Investment Behavior

Extending the analysis to include investment behavior offers a useful complementary perspective. Founder-led firms invest more in R&D, and this difference is consistent across specifications. The effect remains large even after adding controls and comparing within industries. Capital expenditure shows a different pattern. The baseline difference is negligible. Effects only appear once controls are introduced, and remain small. This divergence between R&D and CAPEX suggests something specific about how founder-led firms allocate capital.

The consistency of the R&D result across the first three specifications is notable. It is not driven by industry composition or observable firm characteristics alone. Bertrand and Schoar (2003) show that managerial style matters most where discretion is high and outcomes are uncertain. R&D fits this description. Returns are uncertain and long-horizon. Capital expenditure is more tied to operational necessity. Fahlenbrach (2009) documents that founder-CEOs invest more in R&D, which aligns with our findings. The selectivity matters. Founder-led firms appear to prioritize innovation over other uses of capital. If they were simply more investment-intensive overall, both R&D and CAPEX would increase together. Instead, the pattern suggests founder-led firms make different choices about where to deploy resources.

CEO traits influence investment decisions when uncertainty and imperfect information are present. Malmendier and Tate (2005) show how overconfident managers allocate capital differently in these environments. Founder-led firms appear to assess uncertain, long-term opportunities differently than non-founder firms. This may reflect differences in judgment about future returns, not simply differences in available capital.

The R&D effect becomes smaller once firm fixed effects are included. This suggests that part of the earlier difference reflects persistent firm characteristics rather than leadership alone. Firms that retain founders tend to be more innovation-oriented before leadership changes occur. Bertrand and Schoar (2003) emphasize this organizational persistence. However, the pattern does not disappear entirely. R&D investment still differs depending on whether a founder leads, even within the same firm over time. This indicates that innovation orientation and founder presence are not purely cross-sectional, but also emerge within firms when leadership changes. For CAPEX, the effect actually strengthens in this specification. This suggests that operational investment may be driven more by industry requirements and firm characteristics than by founder leadership.

The divergence between R&D and CAPEX may reflect how founder-led firms allocate capital strategically. Founder-led firms appear to commit resources to uncertain, innovation-related projects in ways that non-founder firms do not. One explanation is that where discretion is high and judgment matters, founder leadership influences decisions. Where necessity drives investment, firm and industry characteristics dominate. This selectivity in capital deployment aligns with how the literature conceptualizes managerial discretion and style. Whether the R&D difference reflects actual founder influence or persistent firm traits remains partly unclear, but the pattern across specifications points toward founder decision-making as relevant to investment choices.

6.4 Limitations

The fixed effects approach reduces several sources of bias but does not fully address endogeneity, since founder transitions may still be related to time-varying firm conditions such as performance, growth opportunities, or succession planning. Adams et al. (2009) suggest that leadership transitions may be endogenous to firm outcomes, creating a potential selection bias: founders may remain entrenched during downturns or time their departure based on expected future outcomes. They address this with instrumental variables based on founder mortality and the number of co-founders, an approach beyond the scope of our design.

A related concern is that within-firm identification rests on a small number of founder-to-non-founder transitions. With only 87 founder departures across 1,578 firms over 15 years, the firm fixed effects coefficients are estimated from limited variation, which inflates standard errors and explains why some coefficients lose significance under firm fixed effects. The nature of these transitions also matters: only 8% are forced departures, while 80.5% are planned transitions or retirements and 11.5% are due to death (see Table 2). Observed transitions therefore appear to be driven primarily by voluntary or exogenous factors rather than poor performance, but since the true motive behind each transition cannot be verified from public sources, the classifications should be interpreted with caution.

A further limitation concerns the sample construction. Restricting the sample to firms present in Compustat from 2010 onward may tilt the panel toward more mature firms and reduce the number of founder-led firm-years available, since founder-CEOs are more common in younger firms. If founder-led firms that survived to 2010 are positively selected, for instance because the strongest retained control through the 2008 financial crisis, the estimated valuation and return differences may be biased upward relative to the broader population.

Finally, the empirical approach used for stock returns differs from the portfolio-based tests in Fahlenbrach (2009) and Lilienfeld-Toal and Ruenzi (2014), which benchmark against the Carhart four-factor model. As discussed in Section 6.2, this difference in research design, together with the use of a founder-CEO dummy rather than an ownership-based measure, limits direct comparability and may help explain why the return premium they document does not appear in our setting.

7 Conclusion

Firm performance and valuation are central to financial research, but the underlying managerial decisions creating value remain less well understood. This thesis shows that founder-CEO leadership captures such underlying variation and is reflected in systematic differences in firm valuation and investment behavior, but not with consistently superior stock market performance.

Firms led by their founders are valued higher, and this difference persists after controlling for firm characteristics, industry composition, and time-invariant firm heterogeneity. The within-firm results indicate that the same firm is valued higher during periods of founder leadership, though the limited number of leadership transitions constrains the precision of this estimate.

A different pattern emerges for stock returns. The unconditional founder premium documented in large-cap studies, notably Fahlenbrach (2009), does not survive once firm characteristics, time, and industry fixed effects are introduced. The conditional estimate turns negative but is only marginally significant, and the within-firm specification loses significance entirely. The evidence is therefore not consistent with a robust founder-CEO return premium across the size distribution. Differences in research design relative to the portfolio-based studies that document a founder premium, together with the limited statistical power of raw annual returns, mean that negative estimates should be interpreted with caution.

Differences in investment behavior are concentrated in R&D rather than capital expenditure. Founder-led firms invest more in innovation across pooled specifications, though the effect weakens under firm fixed effects. This is consistent with the view that founders, with longer time horizons and stronger ownership incentives, are more willing to commit resources to uncertain, long-term investments than professional managers facing greater career risk. The higher R&D intensity of founder-led firms connects back to the valuation finding, suggesting that innovation-oriented investment may be one channel through which founder leadership relates to higher market valuation.

Future research could explore founder-CEO transitions using settings with stronger identification strategies, to more precisely separate the effect of founder leadership from the characteristics of firms that tend to retain their founders. Further work on heterogeneity among founder-CEOs, such as differences in ownership concentration, governance structures, and industry context, could help identify the conditions under which founder leadership is most strongly associated with firm outcomes.

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Appendix

Appendix A: Additional Tables

Graph 1: Industry distribution

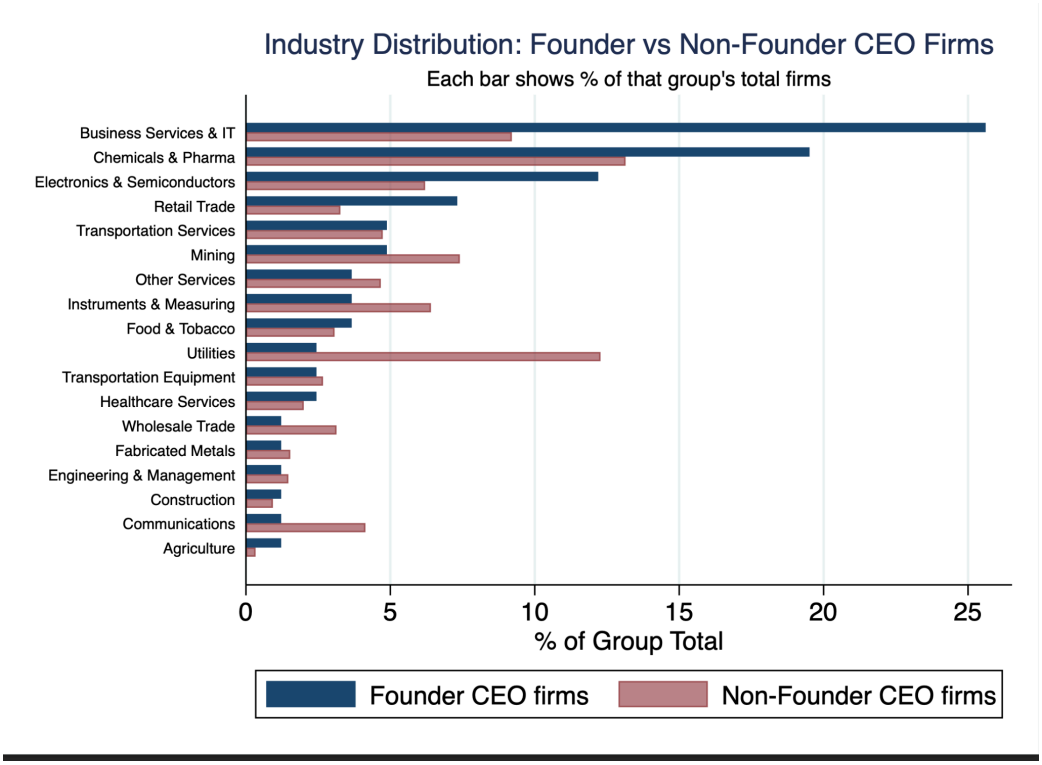


Table 8: R&D Intensity Robustness – Missing Value Treatment

Variable	(1) Missing = 0 + Dummy	(2) Industry Avg + Dummy
Founder CEO dummy	0.0215**	0.0222***
	(0.0086)	(0.0085)
Missing R&D dummy	−0.0769***	−0.0086
	(0.0064)	(0.0062)
Log total assets	−0.0059***	−0.0051***
	(0.0012)	(0.0012)
Debt-to-assets	−0.0251	−0.0231
	(0.0156)	(0.0151)
ROA	−0.1377***	−0.1357***
	(0.0175)	(0.0174)
Sales growth	0.0092**	0.0077*
	(0.0044)	(0.0045)
Year FE	Yes	Yes
Industry FE	Yes	Yes
Observations	20,898	20,898
R-squared	0.4593	0.4519

Dependent variable: R&D expenditure / total assets. Column (1): missing R&D set to zero with missing R&D indicator. Column (2): missing R&D replaced with 2-digit SIC industry-year mean, following Koh & Reeb (2015). Missing R&D dummy = 1 if the firm did not report positive R&D expenditure. Standard errors are clustered at the firm level. *, **, *** denote significance at the 10%, 5%, and 1%

Two coefficients in Table 8 are central to interpreting this check. The coefficient on the missing R&D dummy is negative and highly significant in the zero-imputation specification ($\beta = -0.0769$), confirming that firms that omit R&D differ systematically from firms that report it. This is exactly the pattern Koh and Reeb (2015) describe: non-reporting is not random but a discretionary disclosure choice, which is why a dummy is included to absorb it rather than letting it contaminate the founder-CEO estimate. The founder-CEO dummy remains positive and statistically significant under both treatments of the missing values ($\beta = 0.0215$ with zero imputation; $\beta = 0.0222$ with the industry-year average). In other words, founder-led firms still display higher R&D intensity even when roughly half of the sample previously dropped for missing R&D is added back and the disclosure decision is controlled for. The smaller estimates relative to Table 7 reflect mechanical compression from imputation, pulling missing values toward zero or the industry mean, and should not be interpreted as a sign of a weaker result.

Appendix B: AI Disclosure

ChatGPT and Claude were used to assist in the coding process and to improve the language in the writing. No substantive risks were identified, but all outputs were extensively reviewed. The tool mainly contributed to increasing efficiency in coding and enhancing the written text.